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Provision of November 30, 2023

Register of provisions

n. 561 of November 30, 2023

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting held today, attended by
Prof. Pasquale Stanzione, president, Prof.
Ginevra Cerrina Feroni, vice president, Dr.
Agostino Ghiglia and Attorney Guido Scorza, members, and
Counsel Fabio Mattei, secretary general;

HAVING REGARD TO Regulation (EU) 2016/679 of the European
Parliament and of the Council, of April 27, 2016, on the protection
of natural persons with regard to the processing of personal data,
as well as on the free movement of such data and repealing Directive
95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD TO the Code regarding the protection of personal data
(legislative decree June 30, 2003, n. 196), as amended by legislative
decree August 10, 2018, n. 101, containing provisions for the
adaptation of the national legal system to the aforementioned Regulation
(hereinafter "Code");

HAVING REGARD TO the documentation on file;

HAVING REGARD TO the observations made by the secretary general
pursuant to Article 15 of the Regulation of the Guarantor n. 1/2000;

REPORTING Prof. Pasquale Stanzione;

PREMISED

1. THE INSTRUCTIONAL ACTIVITY

On October 20, 2022, provision n. 350 was adopted,
imposing an administrative fine of €10,000.00 on
Limit Call S.r.l.s. (hereinafter "Limit Call" and
"Company") for the violation of Article 157 of the Code
(in www.gpdp.it, doc. web n. 9832544), as the
Company did not respond to the request for
information dated February 10, 2022 (ref. prot. n.
9268/22) regarding a complaint submitted
to the Authority concerning the receipt of
unwanted phone calls in the absence of the
consent of the data subject.

Therefore, in order to acquire a complete
picture of the information regarding the
processing carried out by the Company, the Office, on
May 23 and 24, 2023, conducted an inspection
at the registered office of Limit Call aimed at verifying,
in particular, the origin of the personal data of the complainant,
as well as the legal basis that would have legitimized the
complained phone calls. As a result of this inspection, the following
emerged.

Limit Call, a call center active in the teleselling sector for

electricity contracts, claimed to have acquired the contact of the complainant from a list provider – XX – based in Moldova (hereinafter “XX” and “provider”). From this provider, 3 lists of personal data were acquired “for a total of 100,000 contacts” from which 32,651 phone calls were made resulting in 294 contracts (see resolution of reservations of June 12, 2023). No specific contract was signed with this list provider, but the commercial relationship with the latter was certified by an accounting document, produced during the inspection, in which “the payment methods and the summary characteristics of the provided list” are indicated along with an attachment, entitled “Terms and conditions,” which contains an indication of the “privacy roles [...] and [the] operational instructions on the use of the personal data.”

The Company also stated that it had not engaged with XX indicated by the list provider “as the entity that would have originally acquired the contact data of the complainant” to then transfer it to XX who, in turn, would have provided it to Limit Call.

The Company represented that it was unable to provide further information regarding the processing of the complainant's personal data, having not conducted checks regarding the fulfillment of the information (presuming that it was provided by the list provider) and of consent. Moreover, “in light of the numerous requests from Limit Call, the list provider has terminated all relations and has become unreachable.”

The only checks carried out by the Company concerned the verification of the numbers provided by the list provider in the Public Opposition Register (c.d. RPO), using the same data for 15 days (see minutes of May 23, 2023, p. 3).

Finally, regarding the requests for the exercise of rights made by the data subjects, Limit Call claimed to have made available, for their fulfillment, the company PEC address (limitcallsrls@legalmail.it) which, however, following the checks conducted during the inspection, was found to be no longer active.

2. THE ALLEGATION OF VIOLATIONS

On September 7, 2023, the Company was notified of the initiation of proceedings, pursuant to Article 166, paragraph 5, of the Code, for the adoption of any measures under Article 58, paragraph 2, of the Regulation. With this communication (prot. n. 125354/23), Limit Call was charged with the alleged violations of the following provisions: Articles 12, 13, and 14 of the Regulation, for failing to provide information during promotional contacts; Articles 5, paragraph 1, letter a), 6, paragraph 1, letter a), 7 of

the Regulation and Article 130 of the Code, for having made promotional phone calls without the informed consent of the data subjects;

****artt. 12, parr. 2 e 3, 15 e ss. del Regolamento, per****

not having adopted adequate measures to allow for the response to requests for the exercise of the rights of the data subjects, as the designated email channel for handling such requests was not functioning;

****art. 1, comma 11, della legge n. 5/2018, in relazione****

to the subsequent comma 12 and to art. 130, comma 3, of the Code, for having carried out telemarketing activities without consulting the Public Register of Oppositions prior to the promotional campaign;

****art. 31 del Regolamento (Cooperazione con l'Autorità di controllo), per****

having provided insufficient cooperation to the Supervisory Authority, as it was necessary to conduct an inspection at the registered office of the Company to obtain the information originally requested regarding the processing of personal data of the data subjects.

****3. VALUTAZIONI DI ORDINE GIURIDICO****

The Company did not submit defensive memoranda nor did it request to be heard by the Authority. Therefore, with reference to the factual profiles highlighted above, also based on the statements made during the inspection, for which the declarant is responsible pursuant to art. 168 of the Code, the violations referred to in point 2 of this provision are confirmed and, consequently, the following legal assessments are made.

Limit Call did not provide documentation suitable to demonstrate the lawfulness of the acquisition of the personal data lists from third parties (specifically from the list provider - XX).

Nevertheless, the documents that would prove the commercial relationship with the list provider, produced during the inspection (see Annex 1 to the minutes of May 24, 2023, p. 1), are nothing more than invoices issued in favor of two different companies attributable to the brand "XX" - XX and XX – which do not allow the Office to clearly understand the actual ownership of the database transferred to Limit Call.

That being duly noted, beyond the ownership of the database, it is represented that the Company did not exercise a control power over the acquired lists that went beyond the discussions functional to the commercial agreement.

In fact, it does not appear that Limit Call requested from its commercial partner the documentation proving the existence of the lawfulness requirements for processing, such as the origin of the data, the information provided, and the consents obtained from the data subjects targeted by the promotional campaign, nor did it carry out such checks in any other way (see minutes of May 23, 2023, p. 3).

In addition, it was found that there was no record of the verification in the RPO of the complainant's user already at the time of the first contact, thus confirming the violation of art. 1, comma 11, of law no. 5/2018, in relation to the subsequent comma 12 and to art. 130, comma 3 of the Code.

Furthermore, from the examination of the document signed with the list provider, under the heading "Terms and conditions," the Company is clearly indicated as an independent data controller of the data acquired from the list provider (see p. 2 "Terms and conditions"), resulting in the enrichment of the corporate database to be used exclusively in the interest of Limit Call (see p. 3). The Company, based on the agreement, "commits not to disclose," to transfer, and to make available to third parties, the personal data thus acquired (see p. 4).

Regardless of the formal aspect – the role played by the Company in the processing of personal data provided by the list provider (independent controller in the acquisition of lists of personal data from third parties or processor in cases of using the same on behalf of clients) – it cannot be excluded that Limit Call bears responsibility for verifying the lawfulness of the collected data; this is because the collection and storage of data acquired from third parties pertain to a phase of processing that is prior and independent of any potential promotion of services and products of the clients and consists of an activity carried out by the Company in full autonomy.

That being clarified, there was no record of the informational obligation on the part of Limit Call

pursuant to arts. 13 and 14 of the Regulation. The call script used during the promotional contacts, produced prior to the inspection during the communication with the complainant (see email of 10/12/2021) and presented during the inspection along with the audio files acquired in digital format on computer media, was found to be lacking all the information mandatorily required by art. 13 of the Regulation; the same script, in fact, only pertains to the request to the user for a callback if interested in the Company's "energy consultancy services," which is not even mentioned during the calls. Moreover, Limit Call did not verify and, therefore, did not prove, the provision of the list provider's information to the data subjects, pursuant to art. 14 of the Regulation; thus, it was not possible to ascertain whether the same information provided for the communication of personal data to third parties. Similarly, specific consent for communication to third parties (including Limit Call) for marketing purposes was not proven.

Therefore, it is deemed necessary to confirm the violation of arts. 12, 13, and 14 of the Regulation, as the absence of an informative notice to be provided during the promotional contacts emerges from the above observations. Additionally, the violation of arts. 5, par. 1, lett. a), 6, par. 1, lett. a), 7 of the Regulation and of art. 130 of the Code must also be considered integrated, as the described processing resulted in the making of promotional calls without the informed consent of the data subjects, as the Company did not provide evidence.

****Documentary Evidence of Acquisition.****

In conclusion, the treatment in question appears to have been carried out in the absence of the prerequisites for the legitimacy of the promotional activity, not only in relation to the case referred to in the complaint but also in the overall context of the treatments carried out by Limit Call.

With reference to the circumstance described in the preamble concerning the malfunctioning of the certified email address designated for handling requests from the data subjects, it is noted that this impediment is in contrast with the obligation of the data controller to facilitate, with appropriate measures, the exercise of rights provided for by the legislation on personal data protection and to satisfy, without delay, the related requests; furthermore, this would not have allowed the same data subjects full control over their data and the treatments related to them, constituting a violation of Article 12 paragraphs 2 and 3, as well as Articles 15 et seq. of the Regulation.

Finally, there has not been sufficient cooperation towards the Authority since the inertia of the Company (in the face of a specific request from the Office to which the application of administrative sanctions is underlying if not responded to, and even after the adoption of the sanctioning measure) has resulted in a burdening of the investigation and a slowdown of the administrative action, deeming it necessary to carry out an inspection at the legal headquarters and acquire all useful elements for a substantive evaluation. Therefore, it is believed that the violation of Article 31 of the Regulation is integrated.

****4. CONCLUSIONS****

For the reasons stated above, the responsibility of Limit Call is deemed established regarding the following violations of the Regulation:

- Article 5 paragraph 1, letter a);
- Article 6 paragraph 1, letter a);
- Article 7;
- Article 12;
- Article 13;
- Article 14;
- Article 15;
- Article 31;

as well as Article 130 of the Code.

Having established the unlawfulness of the aforementioned conduct of the Company, it is necessary to:

- a) prohibit the processing of personal data for which the issuance of an appropriate information notice

to the data subjects has not been proven and consent free from defects has not been obtained (pursuant to Articles 6, 7, 12, and 14 of the Regulation, as well as Article 130 of the Code);

b) order the immediate deletion of said data, except for those that must be retained for compliance with legal obligations or for any contractual reasons;

c) order, in the event that the Company intends in the future to direct promotional activity towards telephone numbers provided by third parties:

- to provide a transparent and appropriate information notice to the data subjects, pursuant to Articles 12 and 13 of the Regulation;
- to adopt suitable procedures aimed at constantly verifying, including through adequate random checks, that personal data are processed in full compliance with the provisions in this regard (prior acquisition of free, specific, unequivocal, documented, as well as informed consent from the data subjects for sending commercial communications, as well as verification of the telephone numbers in the RPO), pursuant to Articles 6, 7, 12, 13, and 14 of the Regulation as well as Article 130 of the Code;
- to ensure the exercise of the rights of the data subjects through the proper management of communication channels and, in particular, the certified email address designated for the relevant handling, pursuant to Articles 12 and 15 of the Regulation;
- to adopt adequate procedures aimed at keeping track of processing activities also within the supply chain and to prove compliance with the rules on personal data protection (Articles 5, paragraph 2, and 24 of the Regulation);

d) with regard to the treatments already carried out, it is believed that the prerequisites for the application of an administrative pecuniary sanction exist pursuant to Articles 58, paragraph 2, letter i) and 83, paragraphs 4 and 5, of the Regulation, to be applied in addition to that.

****5. ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE PECUNIARY SANCTION****

Based on the above, various provisions of the Regulation and the Code have been violated in relation to connected treatments carried out by Limit Call, for which it is necessary to apply Article 83, paragraph 3, of the Regulation, according to which “if, in relation to the same treatment or connected treatments, a data controller violates, with intent or negligence, various provisions of the Regulation, the total amount of the administrative pecuniary sanction does not exceed the amount specified for the most serious violation,” resulting in the application of only the sanction provided for by Article 83, paragraph 5, of the Regulation.

For the determination of the amount of the sanction, which must “in any case [be] effective, proportionate, and dissuasive” (Article 83, paragraph 1, of the Regulation), it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation.

The circumstances to be considered in this case must include, from the perspective of aggravating factors:

1. the severity of the violations detected, since the processing, although not supported by the necessary guarantees, has involved numerous telephone numbers (100,000 contacts from which 32,651 calls would have resulted, producing 294 contracts) (Article 83, paragraph 2, letter a, of the Regulation);
2. the character of at least gross negligence of the...
conduct, since the rules for the protection of personal data have been completely ignored and have not been taken into account even after the intervention of the Authority (Article 83, paragraph 2, letter b, of the Regulation);
3. the total absence of measures aimed at mitigating the damage for the data subjects, despite the objections raised by the Authority and even after the sanctioning measure of October 20, 2022 (Article 83, paragraph 2, letter c, of the Regulation);
4. the inconsistency of the Company's conduct with respect to the substantial regulatory activity of the Authority in the field of marketing, with particular reference to information and consent (Article 83, paragraph 2, letter k, of the Regulation).

Taking into account the fine of 10,000 euros already imposed by the measure of October 20, 2022, the only mitigating factor to be considered is the overall assessment of the Company's economic capacity,

taking into account the latest available corporate revenue (667,613 euros, as resulting from the 2022 VAT declaration relating to the tax period of the year 2021) (Article 83, paragraph 2, letter k, of the Regulation).

Therefore, it is deemed appropriate to apply to Limit Call the administrative sanction of payment of an amount equal to 60,000.00 euros (sixty thousand/00), equal to 0.3% of the maximum penalty of 20 million euros and, due to the aggravating factors identified, the additional sanction of the full publication of this measure on the Authority's website as provided for by Article 166, paragraph 7 of the Code and Article 16 of the Authority's Regulation No. 1/2019.

It is noted that, pursuant to Article 170 of the Code, anyone who, being obliged to do so, does not comply with this prohibition measure on processing is punished with imprisonment from three months to two years and that, in case of non-compliance with the same measure, the sanction referred to in Article 83, paragraph 5, letter e) of the Regulation is also applied administratively.

Finally, the conditions referred to in Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Authority, for the annotation of the violations identified herein in the Authority's internal register, as provided for by Article 57, paragraph 1, letter u) of the Regulation, are met.

ALL OF THE ABOVE CONSIDERED, THE AUTHORITY

pursuant to Article 57, paragraph 1, letter f) of the Regulation, declares unlawful, in the terms set out in the reasoning, the processing carried out by Limit Call S.r.l.s., with registered office at Via Tertulliano, 70 – 20137 Milan, VAT No. 11508000962, and consequently:

- a) pursuant to Article 58, paragraph 2, letter f) of the Regulation, prohibits the processing of personal data for which it has not been proven that a suitable information notice has been provided to the data subjects and that consent free from defects has been obtained (ex Articles 6, 7, 12 and 14 of the Regulation, as well as Article 130 of the Code);
- b) pursuant to Article 58, paragraph 2, letter d) of the Regulation, orders the immediate deletion of said data, except for those that must be retained for compliance with legal obligations or for any contractual reasons;
- c) pursuant to Article 58, paragraph 2, letter d) of the Regulation, orders that, should the Company intend to direct promotional activities in the future towards telephone numbers provided by third parties:
 - to provide a transparent and suitable information notice to the data subjects, pursuant to Articles 12 and 13 of the Regulation;
 - to adopt suitable procedures aimed at constantly verifying, including through appropriate random checks, that personal data are processed in full compliance with the provisions in this regard (prior acquisition of free, specific, unequivocal, documented, as well as informed consent from the data subjects for sending commercial communications, as well as verification of telephone numbers in the RPO), pursuant to Articles 6, 7, 12, 13 and 14 of the Regulation as well as Article 130 of the Code;
 - to ensure the exercise of the rights of the data subjects through the proper management of communication channels and, in particular, the certified email address designated for the relevant handling, pursuant to Articles 12 and 15 of the Regulation;
 - to adopt adequate procedures aimed at keeping track of processing activities even within the supply chain and to demonstrate compliance with the rules on the protection of personal data (Articles 5, paragraph 2, and 24 of the Regulation);
- d) pursuant to Article 157 of the Code, orders the Company to communicate to the Authority, within 30 days from the notification of this measure, the initiatives taken to implement the imposed measures; any failure to comply with the provisions of this point may result in the application of the administrative monetary sanction provided for by Article 83, paragraph 5, of the Regulation.

ORDERS

pursuant to Article 58, paragraph 2, letter i) of the Regulation, Limit Call S.r.l.s., represented by its legal representative, to pay the sum of 60,000.00 euros (sixty thousand/00), as an administrative monetary sanction for the violations indicated in the reasoning; it is noted that the offender, pursuant to Article 166, paragraph 8, of the Code, has the option to settle the dispute by payment, within 30 days, of an amount equal to half of the imposed sanction;

ORDERS

the aforementioned Company, in case of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of 60,000.00 euros (sixty thousand/00) according to the methods indicated in

attached, within 30 days from the notification of this provision, under penalty of the adoption of the consequent executive acts pursuant to Article 27 of Law No. 689/1981;

ORDERS

as accessory sanctions, pursuant to Article 166, paragraph 7, of the Code and Article 16 of the Garante Regulation No. 1/2019, the publication on the Garante's website of this provision as well as, pursuant to Article 17 of the Garante Regulation No. 1/2019, the annotation in the internal register of the Authority, as provided for by Article 57, paragraph 1, letter u) of the Regulation, of the violations and the measures adopted.

Pursuant to Article 78 of Regulation (EU) 2016/679, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150 of September 1, 2011, an appeal against this provision may be made to the ordinary judicial authority, with a petition filed at the ordinary court of the place where the data controller resides, or, alternatively, at the court of the place of residence of the data subject, within thirty days from the date of communication of the provision itself, or sixty days if the appellant resides abroad.

Rome, November 30, 2023

THE PRESIDENT

Stanzione

THE REPORTER

Stanzione

THE SECRETARY GENERAL

Mattei